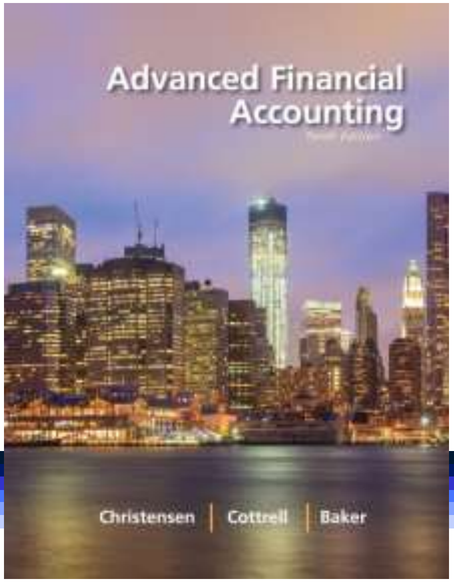
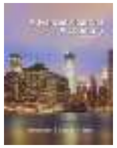
Chapter 2

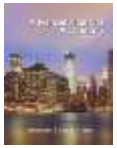


Reporting Intercorporate Investments and Consolidation of Wholly Owned Subsidiaries with No Differential



Learning Objective 2-1

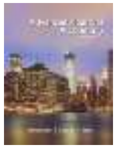
Understand and explain how ownership and control can influence the accounting for investments in common stock.



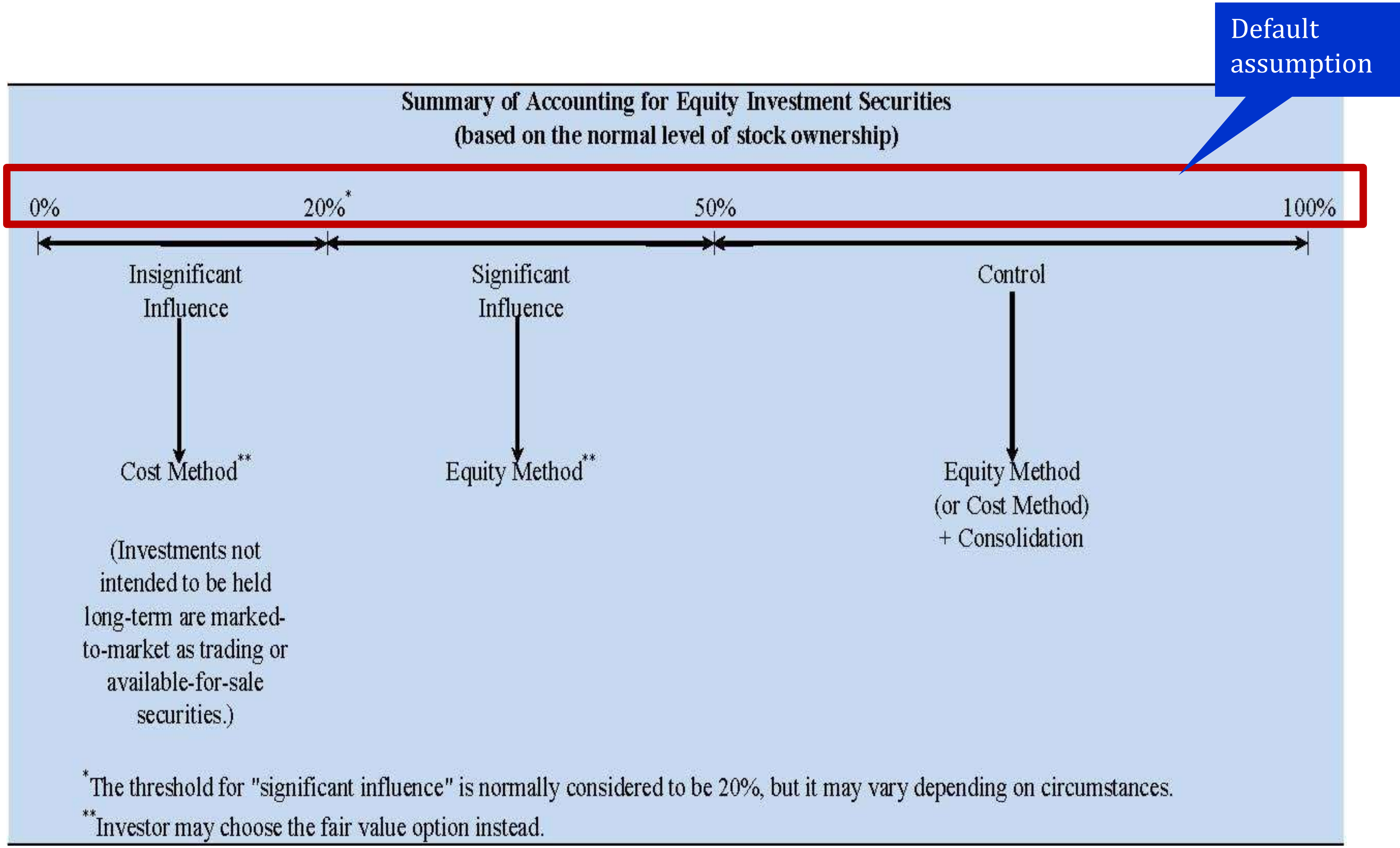
Accounting for Investments in Common Stock

The method used to account for investments in common stock depends on:

- the level of influence or control that the investor is able to exercise over the investee.
- choices made by the investor because of options available.

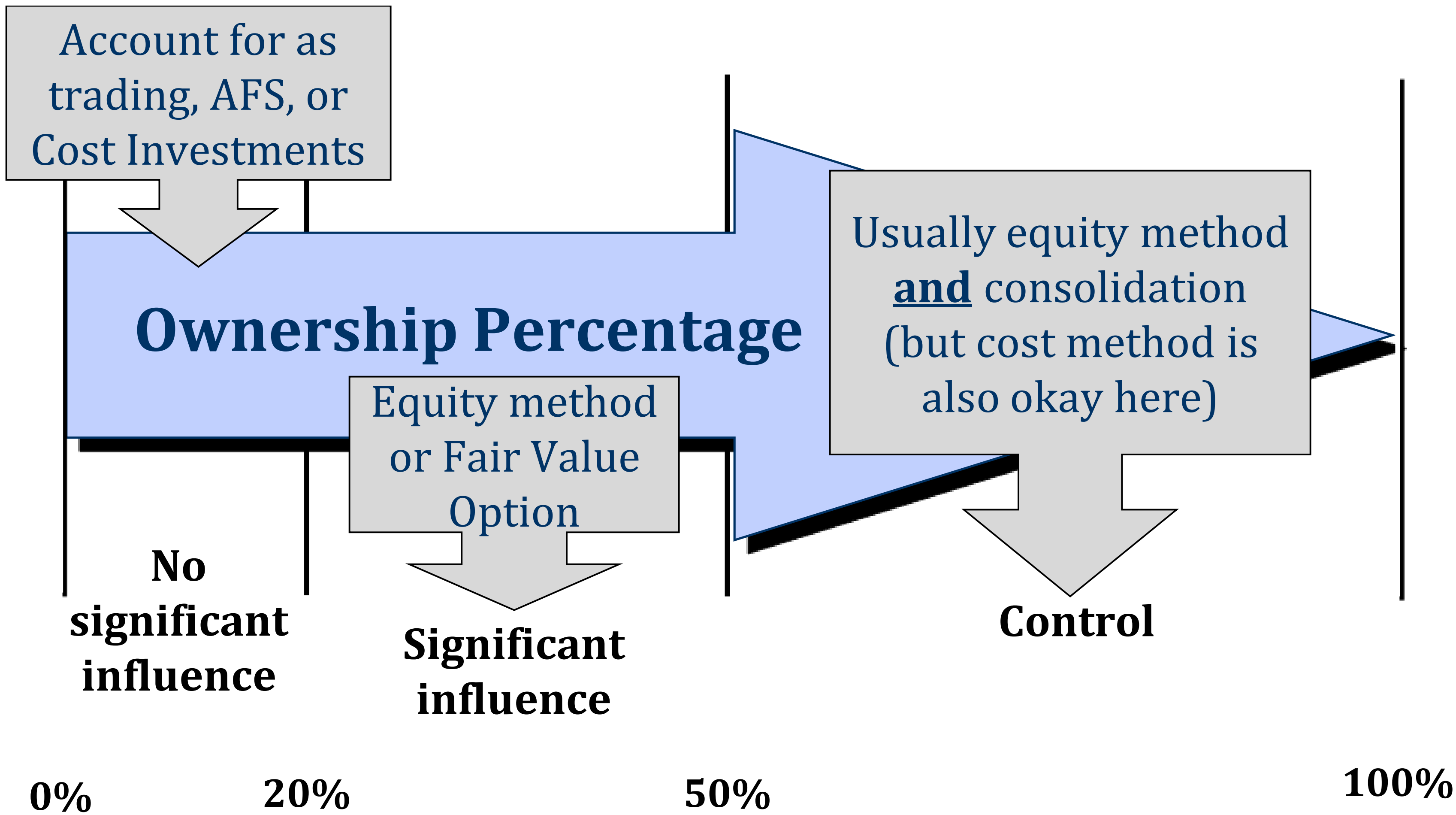


Financial Reporting Basis by Ownership Level



Investment vs. Ownership

- Consolidation eliminates the investment account and replaces it with "the detail."



Investment vs. Ownership

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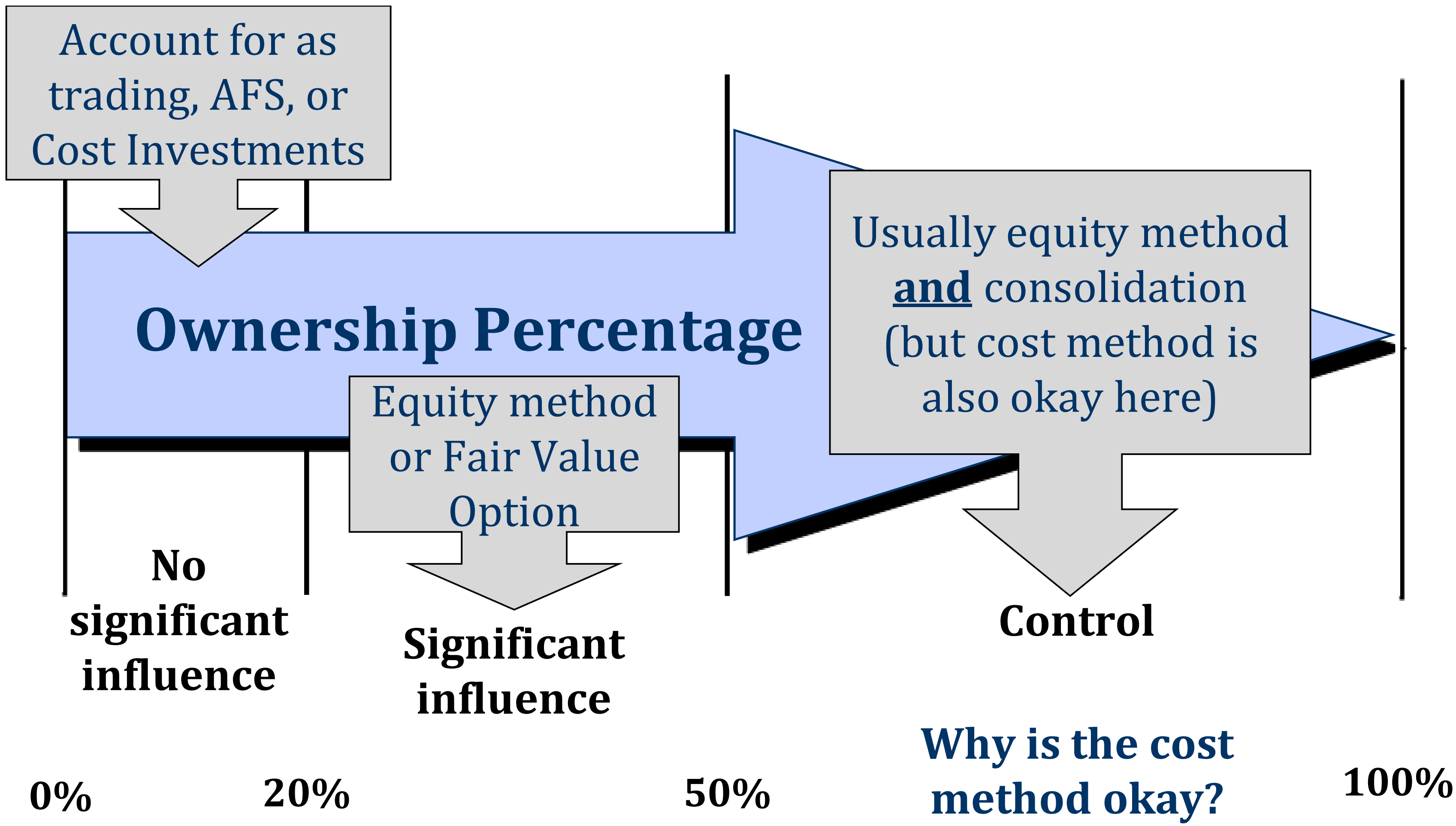

Investment vs. Ownership

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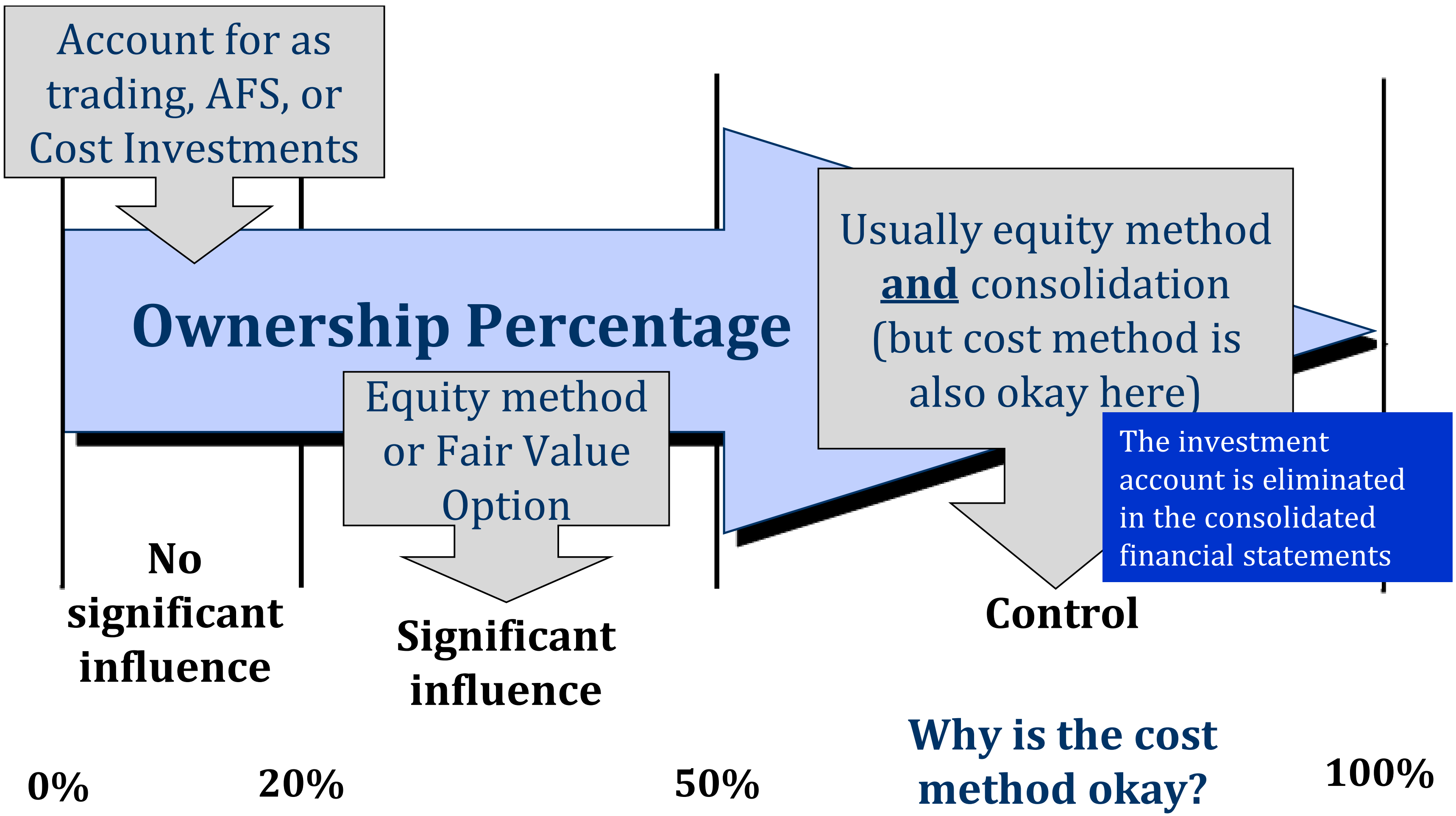
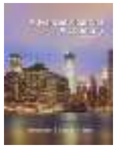
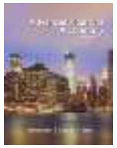




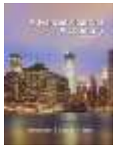
Accounting for Investments in Common Stock

- **The Cost Method**
  - Used for reporting investments in equity securities when both consolidation and equity-method reporting are inappropriate
- **The Equity Method**
  - Used when the investor exercises significant influence over the operating and financial policies of the investee and consolidation is not appropriate
  - May not be used in place of consolidation if consolidation is appropriate
  - Its primary use is in reporting nonsubsidiary investments



Accounting for Investments in Common Stock

- **Consolidation**
  - Involves combining for financial reporting the individual assets, liabilities, revenues, and expenses of two or more related companies as if they were part of a single company
  - Normally is appropriate when one company, referred to as the parent, controls another company, referred to as a subsidiary
  - A subsidiary that is not consolidated with the parent is referred to as an unconsolidated subsidiary and is shown as an investment on the parent's balance sheet.



Practice Quiz Question #1

If Company A purchases 45% of the outstanding common stock of Company B, the investment in Company B should be accounted for

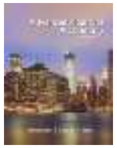
a. as an available-for-sale investment.

b. as a consolidated subsidiary.

c. as a trading investment.

d. as an equity method investment.

e. none of the above.



Practice Quiz Question #1 *Solution*

If Company A purchases 45% of the outstanding common stock of Company B, the investment in Company B should be accounted for

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c. as a trading investment.

d. as an equity method investment.

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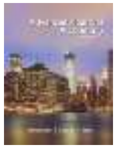
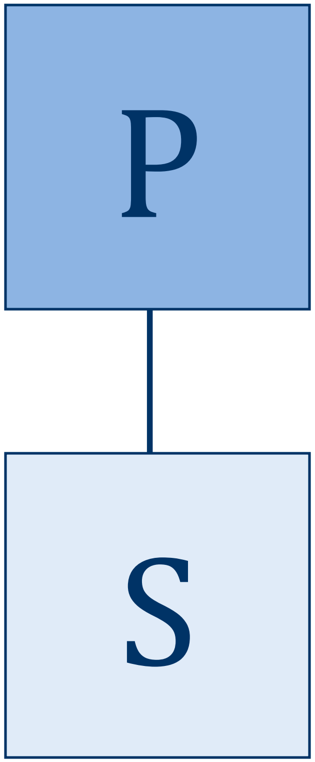


Learning Objective 2-2

Prepare journal entries using the cost method for accounting for investments

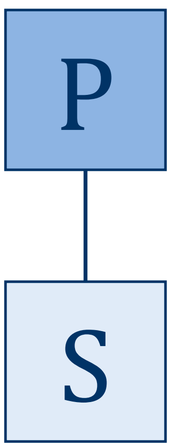
The Cost Method: *How It Works*

- Record the investment at "cost."
- General Rule:
  - Leave it on the books at cost.



The Cost Method: *How It Works*

- **Review**
  - Assume P Corp creates a subsidiary, S Corp, and invests $100,000 cash in exchange for all of the $1 par common stock (1,000 shares).
  - What journal entries would P and S make at the time of the investment?



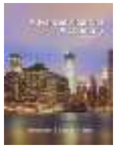
P Corp:

Investment in S Corp	100,000	
Cash	100,000	

S Corp:

Cash	100,000	
Common Stock		1,000
Additional PIC—CS		

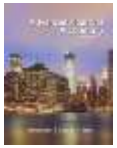
99,000



The Cost Method: *How It Works*

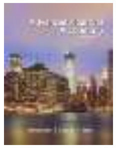
◆ General Rule

- The investment remains on parent's books at cost
  - Record income at the parent level ONLY when sub declares a dividend.
- Generally, the sub's income does not affect parent's investment account balance.
  - However, the parent cannot ignore the sub's losses.
  - Parent writes-down investment ONLY IF value has been impaired.
  - Write-downs result in a NEW cost basis.



The Cost Method: *Pros & Cons*

- **Pros**
  - Minimal G/L bookkeeping by parent
  - Simple consolidation procedures
- **Cons**
  - Overly conservative valuation
  - Parent can manipulate its reported income.
    - Why?
    - Parent controls when sub pays dividends!
  - PCO statements—if used internally or issued—may be misleading.



Example: The Cost Method

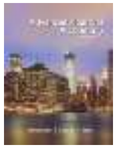
ABC Company acquires 20 percent of XYZ Company's common stock for $100,000 at the beginning of the year but does not gain significant influence over XYZ. During the year, XYZ has net income of $60,000 and pays dividends of $20,000. ABC Company records the following entries:

Investment in XYZ Company Stock	100,000	
Cash		100,000

Record purchase of XYZ Company stock.

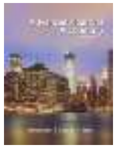
Cash	4,000	
Dividend Income		4,000

Record dividend income from XYZ Company stock: $20,000 x 0.20.



The Cost Method

- **Changes in the number of shares held**
  - Changes resulting from stock dividends, stock splits, or reverse splits receive no formal recognition in the accounts of the investor
- **Purchases of additional shares**
  - Recorded at cost similar to initial purchase
  - New percentage ownership is calculated to determine whether switch to the equity method is required
- **Sales of shares**
  - Accounted for in the same manner as the sale of any other noncurrent asset



Practice Quiz Question #2

Under the cost method, a sub's dividends would:

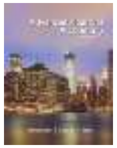
a. NOT be eliminated in consolidation.

b. be the parent's income from investment.

c. decrease the parent's investment account.

d. increase the parent's investment account.

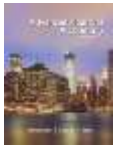
e. none of the above.



Practice Quiz Question #2 *Solution*

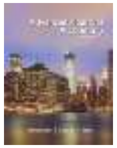
Under the cost method, a sub's dividends would:

a. NOT be eliminated in consolidation.
b. be the parent's income from investment.
c. decrease the parent's investment account.
d. increase the parent's investment account.
e. none of the above.



Learning Objective 2-3

Prepare journal entries using the equity method for accounting for investments.



The Equity Method: How It Works

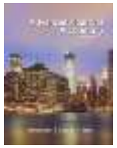
- **The equity method is accrual basis driven:**
  - Record income at the parent level based on sub’s earnings and losses—a built in valuation technique.
    - It isn’t the same as fair value accounting.
    - Nevertheless, the investment generally goes up and down based on the operations of the investee company.
  - Sub’s dividends reduce the parent’s investment (the parent has less invested).

Investment in Sub

Cost	
Income	Losses
	Dividends
Adj. Bal.	

Income from Sub

Losses	Income

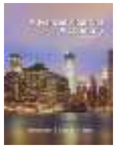


The Equity Method: How It Works

The equity method is a two-way street!

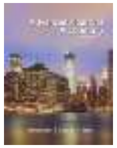
The investment can be:

1. written up based on the sub's income AND
2. written down based on sub losses and dividends



The Equity Method: *Pros and Cons*

- **Pros**
  - Based on economic activity—not the parent-controlled dividend policy.
  - Has two built-in checking figures:
    - Consolidated NI = Parent's NI
    - Consolidated RE = Parent's RE
- **Cons**
  - Requires continual bookkeeping.
  - Unnecessary work if PCO statements are not used internally or issued to outsiders.

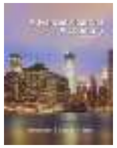


The Equity Method

- The equity method is intended to reflect the investor’s changing equity or interest in the investee.
- The investment is recorded at the initial purchase price and adjusted each period for the investor’s share of the investee’s profits or losses and the dividends declared by the investee.

The Equity Method

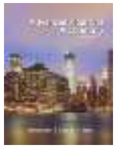
- the equity method is used for:
  1. Companies in which the investor’s voting stock interest gives the investor the “ability to exercise significant influence over operating and financial policies” of that company
- “Significant influence” criterion – 20 percent rule
  - In the absence of evidence to the contrary, an investor holding 20 percent or more of an investee’s voting stock is presumed to have the ability to exercise significant influence over the investee.



The Equity Method

- **Investor's equity in the investee**
  - The investor records its investment at the original cost
  - This amount is adjusted periodically:

Reported by Investee	Effect on Investor's Accounts
Net income	Record income from investment
	Increase investment account
Net loss	Record loss from investment
	Decrease investment account
Dividend declaration	Record asset (cash or receivable)
	Decrease investment account

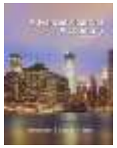


Example: The Equity Method

ABC Company acquires significant influence over XYZ Company by purchasing 20 percent of the common stock of the XYZ Company for $100,000, XYZ earns income of $60,000 and pays dividends of $20,000.

- **Recognition of income**
  - This entry (equity accrual) is normally made as an adjusting entry at the end of the period
  - If the investee reports a loss, the investor recognizes its share of the loss and reduces the carrying amount of the investment by that amount

Investment in XYZ Company Stock	12,000	
Income from XYZ Company		12,000
Record income from investment in XYZ Company ($60,000 x 0.20).		



Example: The Equity Method

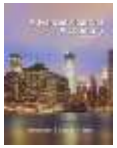
- **Recognition of dividends**

Cash	4,000		
	Investment in XYZ Company Stock		4,000
	Record receipt of dividend from XYZ Company ($20,000 x 0.20).		

- **Carrying amount of the investment**

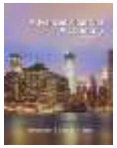
Investment in XYZ Common Stock

Original Cost	100,000		
Equity Accrual		Dividends	
(60,000 x 0.20)	12,000	($20,000 x 0.20)	4,000
Ending Balance	108,000		



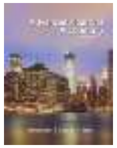
The Equity Method

- **Acquisition at Interim Date**
  - No income earned by the investee before the date of acquisition may be accrued by the investor
- **Acquisition between balance sheet dates**
  - The amount of income earned by the investee from the date of acquisition to the end of the fiscal period may need to be estimated by the investor in recording the equity accrual



The Equity Method

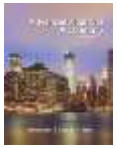
- **Purchases of additional shares**
  - If the equity method was being used to account for shares already held, the acquisition involves adding the cost of the new shares to the investment account and applying the equity method from the date of acquisition forward.
  - New and old investments in the same stock are combined for financial reporting purposes.



The Equity Method

Sale of shares

- Treated the same as the sale of any noncurrent asset
- First, the investment account is adjusted to the date of sale for the investor's share of the investee's current earnings
- Then, a gain or loss is recognized for the difference between the proceeds received and the carrying amount of the shares sold
- If only part of the investment is sold, the investor must decide whether to continue using the equity method or to change to the cost method



Practice Quiz Question #3

Under the equity method, a sub's dividends would:

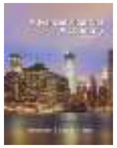
a. NOT be eliminated in consolidation.

b. be the parent's income from investment.

c. decrease the parent's investment account.

d. increase the parent's investment account.

e. none of the above.



Practice Quiz Question #3 *Solution*

Under the equity method, a sub's dividends would:

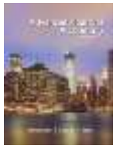
a. NOT be eliminated in consolidation.

b. be the parent's income from investment.

c. decrease the parent's investment account.

d. increase the parent's investment account.

e. none of the above.



Practice Quiz Question #4

Under the equity method, a sub's losses would:

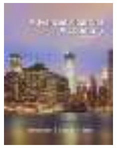
a. never reduce the parent's income.

b. normally reduce the parent's income.

c. always reduce the parent's income.

d. always be eliminated in consolidation.

e. none of the above.



Practice Quiz Question #4 *Solution*

Under the equity method, a sub's losses would:

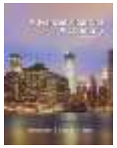
a. never reduce the parent's income.

b. normally reduce the parent's income.

c. always reduce the parent's income.

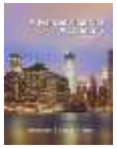
d. always be eliminated in consolidation.

e. none of the above.



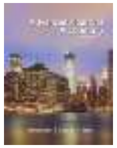
Learning Objective 2-4

Understand and explain differences between the cost and equity methods.



The Cost and Equity Methods Compared

Item	Cost Method	Equity Method
Recorded amount of investment at date of acquisition	Original cost	Original Cost
Usual carrying amount of investment subsequent to acquisition	Original cost	Original cost increased (decreased) by investor's share of investee's income (loss) and decreased by investor's share of investee's dividends
Income recognition by investor	Investor's share of investee's dividends declared from earnings since acquisition	Investor's share of investee's earnings since acquisition, whether distributed or not
Investee dividends from earnings since acquisition by investor	Income	Reduction of investment
Investee dividends in excess of earnings since acquisition by investor	Reduction of investment	Reduction of investment



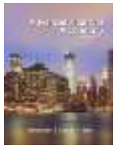
Example: Equity Method versus Cost Method

Pea Corporation created Soup Corporation with a transfer of $500 cash. During Soup Corp.'s first year of operations, it generated a net loss of $100 and paid no dividends. During Soup Corp.'s second year of operations, it generated net income of $200 and paid dividends of $50. What is the balance in the Investment in Sub account on Parent's books at the end of year 2 using the equity method?

Investment in Sub

Beginning balance	500	Net Loss	100
Ending balance	400	Dividends	50
Net income	200		
Ending balance	550		

- What if Parent uses the cost method? **$500 COST!!!**
- What journal entries would Parent make under each method?



Summary of Year 1 Equity Method Entries

Investment in Soup Corp.	500	
Cash	500	

Record the initial investment in Soup Corp.

Income from Soup Corp.	100	
Investment in Soup. Corp.		100

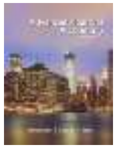
Record Pea Corp.'s 100% share of Soup Corp.'s Year 1 net loss.

Investment in Soup Corp.

Acquisition Price 500	Net Loss 100 Dividends 0
Ending Balance 400	

Income from Soup Corp.

Net Loss 100	
Ending Balance 100	



Summary of Year 2 Equity Method Entries

Investment in Soup Corp. 200
Income from Soup Corp. 200
Record Pea Corp.'s 100% share of Soup Corp.'s Year 2 income.

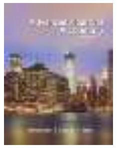
Cash 50
Investment in Soup. Corp. 50
Record Pea Corp.'s 100% share of Soup Corp.'s Year 2 dividends

Investment in Soup Corp.

Beginning Balance 400	
Net Income 200	Dividends 50
Ending Balance 550	

Income from Soup Corp.

	Net Income 200
	Ending Balance 200



Example: Equity versus Cost Method

Equity Method

Investment in Soup Corp. 500
Cash 500

Income from Soup Corp. 100
Investment in Soup Corp. 100

Investment in Soup Corp. 200
Income from Soup Corp. 200

Cash 50
Investment in Soup Corp. 50

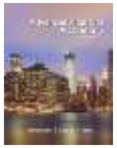
Cost Method

Investment in Soup Corp. 500
Cash 500

No Entry

No Entry

Cash 50
Dividend Income 50



Practice Quiz Question #5

On 1/1/X4, Phillip invested $650,000 in Sleeper (100% owned). For 20X4, Sleeper:

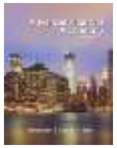
(1) *earned* $90,000,

(2) *declared* dividends of $60,000, and

(3) *paid* dividends of $40,000.

What amounts does Phillip report?

	Cost	**Equity**
Investment income for 20X4	________	________
Investment in Sleeper at year-end	________	________
Retained earnings increase	________	________



Practice Quiz Question #5 *Solution*

On 1/1/X4, Phillip invested $650,000 in Sleeper (100% owned). For 20X4, Sleeper:

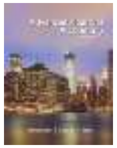
(1) *earned* $90,000,

(2) *declared* dividends of $60,000, and

(3) *paid* dividends of $40,000.

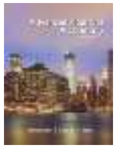
What amounts does Phillip report?

	Cost	**Equity**
Investment income for 20X4	**$60,000**	**$90,000**
Investment in Sleeper at year-end	**$650,000**	**$680,000**
Retained earnings increase	**$60,000**	**$90,000**



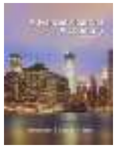
Learning Objective 2-5

Prepare journal entries using the fair value option.



The Fair Value Option

- **The accounting standards** permit but does not require companies to make fair value measurements
  - Option available only for investments that are not required to be consolidated
  - Rather than using the cost or equity method to report nonsubsidiary investments in common stock, investors may report those investments at fair value
  - The investor remeasures the investment to its fair value at the end of each period
  - The change in value is then recognized in income for the period
  - Normally the investor recognizes dividend income in the same manner as under the cost method



Example: The Fair Value Option

Ajax Corporation purchases 40 percent of Barclay Company's common stock on January 1, 20X1, for $200,000. Barclay has net assets on that date with a book value of $400,000 and fair value of $465,000. On March 1, 20X1, Ajax receives a cash dividend of $1,500 from Barclay. On March 31, 20X1, Ajax determines the fair value of its investment in Barclay to be $207,000. During the first quarter of 20X1, Ajax records the following entries:

January 1, 20X1

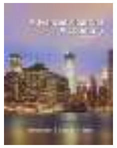
Investment in Barclay Stock 200,000
Cash 200,000
Record purchase of Barclay Company stock.

March1, 20X1

Cash 1,500
Dividend Income 1,500
Record dividend income from Barclay Company.

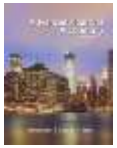
March 31, 20X1

Investment in Barclay Stock 7,000
Unrealized Gain on Increase in Value of Barclay Stock 7,000
Record increase in value of Barclay stock.



Learning Objective 2-6

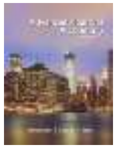
Make calculations and prepare basic elimination entries for a simple consolidation.



Overview of the Consolidation Process

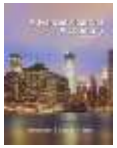
- Chapter 2 introduces the most simple setting for a **consolidation**.
  - The subsidiary is wholly owned.
  - It is either a created subsidiary or we assume it is purchased for an amount equal to the book value of net assets.

	Wholly Owned Subsidiary	**Partially Owned Subsidiary**
Investment = Book Value	**Chapter 2**	**Chapter 3**
Investment > Book Value	**Chapter 4**	**Chapter 5**



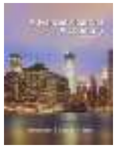
Overview of the Consolidation Process

- The objective is to combine the financial statements of two or more entities as if they are a single corporation.
- The consolidation worksheet facilitates the combining of the two companies.
- Certain accounts need to be eliminated in the consolidation process to avoid "double counting."
    - Replaces "one-line" consolidation with the "detail."



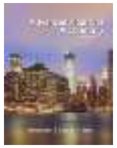
The Consolidation Worksheet (Fig. 2-3, p. 61)

			Elimination Entries		
	Parent	Subsidiary	DR	CR	Consolidated
Income Statement					
Revenues					
Expense					
Expense					
Net Income					
Statement of Retained Earnings					
Retained Earnings (1/1)					
Add: Net Income					
Less: Dividends					
Retained Earnings (12/31)					
Balance Sheet					
Assets					
Total Assets					
Liabilities					
Equity					
Common Stock					
Retained Earnings					
Total Liabilities and Equity					



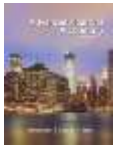
Overview of the Consolidation Process

- In the consolidation worksheet, the three financial statements need to articulate.
  - Net income from the income statement carries down to the statement of retained earnings.
  - The ending balance in retained earnings carries down to the balance sheet.
- Elimination entries are entered into the "Elimination Entries" column (debit or credit) to eliminate any amounts that would result in "double counting."



The Basic Elimination Entry: *The Equity Method*

- What needs to be eliminated?
  - The parent's investment account
    - It represents the initial investment adjusted for the parent's cumulative share of the subsidiary's income and dividends.
  - The parent's income from sub account
  - The subsidiary's equity accounts



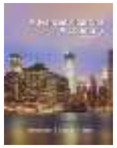
Example: Equity Method

Pea Corporation created Soup Corporation with a transfer of $500 cash. During Soup Corp.'s first year of operations, it generated a net loss of $100 and paid no dividends. During Soup Corp.'s second year of operations, it generated net income of $200 and paid dividends of $50. What is the balance in the Investment in Sub account on Parent's books at the end of year 2 using the equity method?

Investment in Sub

Beginning balance	500	Net Loss	100
Ending balance	400	Dividends	50
Net income	200		
Ending balance	550		

- What accounts need to be eliminated?
- How are they eliminated?



The Basic Elimination Entry: *Equity Method*

- The investment account represents the initial investment adjusted for the parents cumulative share of the subsidiary's income and dividends.
- Therefore, the elimination entry eliminates:
  - The subsidiary's paid-in capital accounts (original investment)
  - Beginning retained earnings (past earnings / dividends)
  - The subsidiary's current year earnings and dividends
- Generically, it looks like this:

Account	Debit	Credit
Common Stock	XXX	
Additional Paid-in Capital	XXX	
Retained Earnings (Beginning Balance)	XXX	
Income from Sub	XXX	
Dividends Declared		XXX
Investment in Sub		XXX

The Basic Elimination Entry: *Equity Method*

	Total Book Value	Common Stock	Additional Paid-In Capital	Retained Earnings	+
Original Book Value		400	50	450	[redacted]
+ Net Income		[redacted]		200	
− Dividends	(50)				[redacted]
Ending Book Value		50 [redacted]		450	[redacted])

Note that the "blue" numbers appear in the basic elimination entry.

Note that this is a deficit balance!

Basic Elimination Entry

Common Stock	← Original amount invested (100%)
Additional Paid-in Capital	← Original amount invested (100%)
Income from Soup Corp.	← Soup Corp.'s reported income
Retained Earnings (BB)	← Beginning balance in retained earnings
Dividends Declared	← 100% of Soup Corp.'s dividends
Investment in Soup Corp.	← Net book value in investment account

The Basic Elimination Entry: *Equity Method*

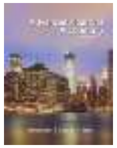
	Total Book Value	Common Stock	Additional Paid-In Capital	Retained Earnings
Original Book Value		400	50	450
+ Net Income				200
− Dividends	(50)			
Ending Book Value		**50**	**450**	5[redacted])

Note that the "**blue**" numbers appear in the basic elimination entry.

Note that this is a deficit balance!

Basic Elimination Entry

Common Stock	50	← Original amount invested (100%)
Additional Paid-in Capital	450	← Original amount invested (100%)
Income from Soup Corp.	200	← Soup Corp.'s reported income
Retained Earnings (BB)		← Beginning balance in retained earnings
100		← 100% of Soup Corp.'s dividends
Dividends Declared	50	← Net book value in investment account



Basic Elimination Entry: The Equity Method

Basic Elimination Entry

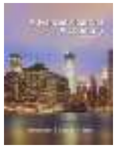
Common Stock	50	
Additional Paid-in Capital	450	
Income from Soup Corp.	200	
Retained Earnings (BB)	100	
Dividends Declared		50
Investment in Soup Corp.		550

Investment in Soup Corp.

Beginning Balance 400	
Net Income 200	Dividends 50
	550
Ending Balance 550	

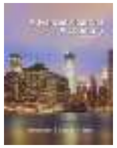
Income from Soup Corp.

	Net Income 200
Basic 200	Ending Balance 200



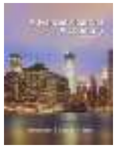
Learning Objective 2-7

Prepare a consolidation worksheet.



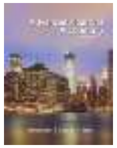
Worksheet: Pre-Consolidation Balances

			Elimination Entries		
	Pea Corp.	Soup Corp.	DR	CR	Consolidated
Income Statement					
Sales	1,200	600			
Less: COGS	(600)	(300)			
Less: Other Expenses	(450)	(100)			
Income from Soup Corp.	200				
Net Income	**350**	**200**			
Statement of Retained Earnings					
Beginning Balance	150	(100)			
Net Income	**350**	**200**			
Less: Dividends Declared	(100)	(50)			
Ending Balance	**400**	**50**			
Balance Sheet					
Cash	250	100			
Investment in Soup Corp.	550				
PP&E (net)	900	600			
Total Assets	**1,700**	**700**			
Liabilities	300	150			
Common Stock	200	50			
Additional Paid-in Capital	800	450			
Retained Earnings	**400**	**50**			
Total Liabilities & Equity	**1,700**	**700**			



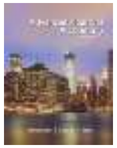
Worksheet: Draw lines

			Elimination Entries		
	Pea Corp.	Soup Corp.	DR	CR	Consolidated
Income Statement					
Sales	1,200	600			
Less: COGS	(600)	(300)			
Less: Other Expenses	(450)	(100)			
Income from Soup Corp.	200				
Net Income	**350**	**200**			
Statement of Retained Earnings					
Beginning Balance	150	(100)			
Net Income	**350**	**200**			
Less: Dividends Declared	(100)	(50)			
Ending Balance	**400**	**50**			
Balance Sheet					
Cash	250	100			
Investment in Soup Corp.	550				
PP&E (net)	900	600			
Total Assets	**1,700**	**700**			
Liabilities	300	150			
Common Stock	200	50			
Additional Paid-in Capital	800	450			
Retained Earnings	**400**	**50**			
Total Liabilities & Equity	**1,700**	**700**			



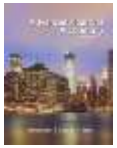
Worksheet: Eliminations, Sub-totals, Carry down

			Elimination Entries		
	Pea Corp.	Soup Corp.	DR	CR	Consolidated
Income Statement					
Sales	1,200	600			
Less: COGS	(600)	(300)			
Less: Other Expenses	(450)	(100)			
Income from Soup Corp.	200		200		
Net Income	**350**	**200**			
Statement of Retained Earnings					
Beginning Balance	150	(100)		100	
Net Income	350	200			
Less: Dividends Declared	(100)	(50)		50	
Ending Balance	**400**	**50**			
Balance Sheet					
Cash	250	100			
Investment in Soup Corp.	550			550	
PP&E (net)	900	600			
Total Assets	**1,700**	**700**			
Liabilities	300	150			
Common Stock	200	50	50		
Additional Paid-in Capital	800	450	450		
Retained Earnings	**400**	**50**			
Total Liabilities & Equity	**1,700**	**700**			



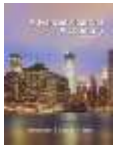
Worksheet: Eliminations, Sub-totals, Carry down

	Pea Corp.	Soup Corp.	Elimination Entries DR	Elimination Entries CR	Consolidated
Income Statement					
Sales	1,200	600			
Less: COGS	(600)	(300)			
Less: Other Expenses	(450)	(100)			
Income from Soup Corp.	200		200		
Net Income	**350**	**200**	**200**	**0**	
Statement of Retained Earnings					
Beginning Balance	150	(100)		100	
Net Income	350	200	200	0	
Less: Dividends Declared	(100)	(50)		50	
Ending Balance	**400**	**50**	**200**	**150**	
Balance Sheet					
Cash	250	100			
Investment in Soup Corp.	550			550	
PP&E (net)	900	600			
Total Assets	**1,700**	**700**	**0**	**550**	
Liabilities	300	150			
Common Stock	200	50	50		
Additional Paid-in Capital	800	450	450		
Retained Earnings	400	50	200	150	
Total Liabilities & Equity	**1,700**	**700**	**700**	**150**	



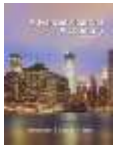
Worksheet: Add across

	Pea Corp.	Soup Corp.	Elimination Entries DR	Elimination Entries CR	Consolidated
Income Statement					
Sales	1,200	600			
Less: COGS	(600)	(300)			
Less: Other Expenses	(450)	(100)			
Income from Soup Corp.	200		200		
Net Income	**350**	**200**	**200**	**0**	
Statement of Retained Earnings					
Beginning Balance	150	(100)		100	
Net Income	350	200	200	0	
Less: Dividends Declared	(100)	(50)		50	
Ending Balance	**400**	**50**	**200**	**150**	
Balance Sheet					
Cash	250	100			
Investment in Soup Corp.	550			550	
PP&E (net)	900	600			
Total Assets	**1,700**	**700**	**0**	**550**	
Liabilities	300	150			
Common Stock	200	50	50		
Additional Paid-in Capital	800	450	450		
Retained Earnings	400	50	200	150	
Total Liabilities & Equity	**1,700**	**700**	**700**	**150**	



Worksheet: Add across

	Pea Corp.	Soup Corp.	Elimination Entries DR	Elimination Entries CR	Consolidated
Income Statement					
Sales	1,200	600			1,800
Less: COGS	(600)	(300)			(900)
Less: Other Expenses	(450)	(100)			(550)
Income from Soup Corp.	200		200		0
Net Income	**350**	**200**	**200**	**0**	**350**
Statement of Retained Earnings					
Beginning Balance	150	(100)		100	
Net Income	350	200	200	0	
Less: Dividends Declared	(100)	(50)		50	
Ending Balance	**400**	**50**	**200**	**150**	
Balance Sheet					
Cash	250	100			
Investment in Soup Corp.	550			550	
PP&E (net)	900	600			
Total Assets	**1,700**	**700**	**0**	**550**	
Liabilities	300	150			
Common Stock	200	50	50		
Additional Paid-in Capital	800	450	450		
Retained Earnings	400	50	200	150	
Total Liabilities & Equity	**1,700**	**700**	**700**	**150**	

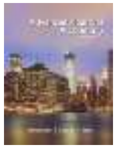


Worksheet: Add across

	Pea Corp.	Soup Corp.	Elimination Entries DR	Elimination Entries CR	Consolidated
Income Statement					
Sales	1,200	600			1,800
Less: COGS	(600)	(300)			(900)
Less: Other Expenses	(450)	(100)			(550)
Income from Soup Corp.	200		200		0
Net Income	**350**	**200**	**200**	**0**	**350**
Statement of Retained Earnings					
Beginning Balance	150	(100)		100	150
Net Income	350	200	200	0	350
Less: Dividends Declared	(100)	(50)		50	(100)
Ending Balance	**400**	**50**	**200**	**150**	**400**
Balance Sheet					
Cash	250	100			
Investment in Soup Corp.	550			550	
PP&E (net)	900	600			
Total Assets	**1,700**	**700**	**0**	**550**	
Liabilities	300	150			
Common Stock	200	50	50		
Additional Paid-in Capital	800	450	450		
Retained Earnings	400	50	200	150	
Total Liabilities & Equity	**1,700**	**700**	**700**	**150**	

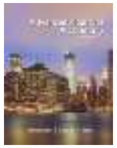
Worksheet: Add across

			Elimination Entries		
	Pea Corp.	**Soup Corp.**	**DR**	**CR**	**Consolidated**
Income Statement					
Sales	1,200	600			1,800
Less: COGS	(600)	(300)			(900)
Less: Other Expenses	(450)	(100)			(550)
Income from Soup Corp.	200		200		0
Net Income	**350**	**200**	**200**	**0**	**350**
Statement of Retained Earnings					
Beginning Balance	150	(100)		100	150
Net Income	350	200	200	0	350
Less: Dividends Declared	(100)	(50)		50	(100)
Ending Balance	**400**	**50**	**200**	**150**	**400**
Balance Sheet					
Cash	250	100			350
Investment in Soup Corp.	550			550	0
PP&E (net)	900	600			1,500
Total Assets	**1,700**	**700**	**0**	**550**	**1,850**
Liabilities	300	150			
Common Stock	200	50	50		
Additional Paid-in Capital	800	450	450		
Retained Earnings	400	50	200	150	
Total Liabilities & Equity	**1,700**	**700**	**700**	**150**	



Worksheet: Completed

	Pea Corp.	Soup Corp.	Elimination Entries DR	Elimination Entries CR	Consolidated
Income Statement					
Sales	1,200	600			1,800
Less: COGS	(600)	(300)			(900)
Less: Other Expenses	(450)	(100)			(550)
Income from Soup Corp.	200		200		0
Net Income	**350**	**200**	**200**	**0**	**350**
Statement of Retained Earnings					
Beginning Balance	150	(100)		100	150
Net Income	350	200	200	0	350
Less: Dividends Declared	(100)	(50)		50	(100)
Ending Balance	**400**	**50**	**200**	**150**	**400**
Balance Sheet					
Cash	250	100			350
Investment in Soup Corp.	550			550	0
PP&E (net)	900	600			1,500
Total Assets	**1,700**	**700**	**0**	**550**	**1,850**
Liabilities	300	150			450
Common Stock	200	50	50		200
Additional Paid-in Capital	800	450	450		800
Retained Earnings	400	50	200	150	400
Total Liabilities & Equity	**1,700**	**700**	**700**	**150**	**1,850**



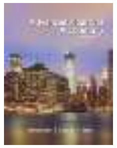
The Equity Method: Things to Remember in Consolidation

- Consolidated net income EQUALS the parent's net income.

Parent		Consolidated
$350	=	$350

- Consolidated retained earnings EQUALS the parent's retained earnings.

Parent		Consolidated
$400	=	$400



Group Exercise 1

	Pinkett, Inc.	Smith, Inc.	Elimination Entries DR	Elimination Entries CR	Consolidated
Income Statement					
Sales	840,000	300,000			
Less: COGS	(516,000)	(156,000)			
Less: Depreciation Expense	(12,000)	(10,000)			
Less: Other Expenses	(192,000)	(98,000)			
Income from Smith, Inc.	36,000				
Net Income	**156,000**	**36,000**			
Statement of Retained Earnings					
Beginning Balance	132,000	72,000			
Net Income	**156,000**	**36,000**			
Less: Dividends Declared	(108,000)	(12,000)			
Ending Balance	**180,000**	**96,000**			
Balance Sheet					
Cash	54,000	48,000			
Accounts Receivable	114,000	66,000			
Inventory	204,000	90,000			
Investment in Smith, Inc.	156,000				
Property, Plant, & Equipment	336,000	210,000			
Less: Accumulated Depreciation	(144,000)	(30,000)			
Total Assets	**720,000**	**384,000**			
Accounts Payable	168,000	84,000			
Long-term Debt	360,000	144,000			
Common Stock	12,000	60,000			
Retained Earnings	**180,000**	**96,000**			
Total Liabilities & Equity	**720,000**	**384,000**			

REQUIRED

- **Assume Pinkett acquired Smith on 1/1/11**
- **Prepare all elimination entries as of 12/31/11.**
- **Prepare a consolidation worksheet at 12/31/11.**
- **Assume Smith's accumulated depreciation on 1/1/11 was $20,000.**

The End